

The background features a central 3D globe with a blue-to-green gradient, showing the continents of Africa and Europe. The globe is surrounded by abstract, flowing lines and a grid of blue squares, creating a sense of global connectivity and technology.

Mindteck Investor Presentation

Fourth Quarter & Year Ended, 2017-18

May 29, 2018

Safe Harbor

Certain statements in this release concerning our future growth prospects may be forward-looking statements, which involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forward-looking statements. The risks and uncertainties relating to these statements include, but are not limited to, risks and uncertainties regarding fluctuations in earnings, our ability to manage growth, intense competition in IT services including those factors which may affect our cost advantage, wage increases, our ability to attract and retain highly skilled professionals, time and cost overruns on fixed-price, fixed-time frame contracts, client concentration, restrictions on immigration, our ability to manage our international operations, reduced demand for technology in our key focus areas, disruptions in telecommunication networks, our ability to successfully complete and integrate potential acquisitions, liability for damages on our service contracts, withdrawal of governmental fiscal incentives, political instability, legal restrictions on raising capital or acquiring companies outside India, unauthorized use of our intellectual property, and general economic conditions affecting our industry. Mindteck may, from time to time, make additional written and oral forward-looking statements, including our reports to shareholders. The company does not undertake to update any forward-looking statements that may be made from time to time by or on behalf of the company.

Financial Performance



Performance **Highlights**

Q4 FY18:

- USD Revenue at \$11.15 million, growth of 0.3% QoQ and dip of 13.6% YoY.
- INR Revenue at ₹ 719.07 million, growth of 0.2% QoQ and dip of 17.1% YoY.
- EBITDA at ₹ (32.49) million as against ₹ 6.67 million in Q3 2018 & ₹ 34.04 million in Q4 2017.
- Profit After Tax ("PAT") at ₹ (78.98) million as against ₹ 3.82 million in Q3 2018 & ₹ 32.89 million in Q4 2017.

FY 2018:

- USD Revenue at \$46.0 million, dip of 9.7% as against \$50.95 million in FY 17.
- INR Revenue at ₹ 2,968.4 million, dip of 13.1% YoY.
- EBITDA at ₹ 12.68 million as against ₹ 109.75 million in FY 2017.
- Profit After Tax ("PAT") at ₹ (56.50) million, as against ₹ 92.88 million in FY 2017.

Performance Summary

SEQUENTIAL Q4 FY 18 Vs. Q3 FY 18

Amount in ₹ million

SL #	Particulars	Q4 2018	Q3 2018	Change % QoQ
1	Income:			
	a) Revenue	719.07	717.40	0.2%
	b) Other income	6.26	3.79	65.2%
	Total Income (a+b)	725.33	721.19	0.6%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	112.50	128.64	(12.5)%
	b) Employee benefits expense	520.83	504.13	3.3%
	c) Finance cost	1.65	1.68	(1.8)%
	d) Depreciation and amortization	3.78	3.08	22.7%
	e) Other expenses	118.23	77.96	51.7%
	Total Expenses (a+b+c+d+e)	756.99	715.49	5.8%
3	Profit/ (Loss) Before Tax ("PBT") (1-2)	(31.66)	5.70	(a)
4	Tax expense	47.32	1.88	(b)
	Profit/ (Loss) After Tax ("PAT") (3-4)	(78.98)	3.82	(a)

(a) Since current quarter is negative, the percent change from previous period is not computed.

(b) The percent change from comparable period is not computed.

Performance Summary

YoY Q4 FY 18 Vs. Q4 FY 17 (Audited)

Amount in ₹ million

SL #	Particulars	Q4 2018	Q4 2017	Change % YoY
1	Income:			
	a) Revenue	719.07	866.98	(17.1)%
	b) Other income	6.26	6.38	(1.9)%
	Total Income (a+b)	725.33	873.36	(16.9)%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	112.50	176.05	(36.1)%
	b) Employee benefits expense	520.83	554.57	(6.1)%
	c) Finance cost	1.65	0.68	142.6%
	d) Depreciation and amortization	3.78	3.61	4.7%
	e) Other expenses	118.23	102.32	15.5%
	Total Expenses (a+b+c+d+e)	756.99	837.23	(9.6)%
3	Profit/ (Loss) Before Tax ("PBT") (1-2)	(31.66)	36.13	(a)
4	Tax expense	47.32	3.24	(b)
	Profit/ (Loss) After Tax ("PAT") (3-4)	(78.98)	32.89	(a)

(a) Since current quarter amount is negative, the percent change from previous period is not computed.

(b) The percent change from comparable period is not computed.

Performance Summary

YoY FY 18 Vs. FY 17 (Audited)

Amount in ₹ million

SL #	Particulars	FY 2018	FY 2017	Change % YoY
1	Income:			
	a) Revenue	2,968.42	3,416.56	(13.1)%
	b) Other income	20.83	25.99	(19.9)%
	Total Income (a+b)	2,989.25	3,442.55	(13.2)%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	536.86	696.53	(22.9)%
	b) Employee benefits expense	2,043.79	2,228.24	(8.3)%
	c) Finance cost	5.50	3.86	42.5%
	d) Depreciation and amortization	12.97	17.00	(23.7)%
	e) Other expenses	375.09	382.04	(1.8)%
	Total Expenses (a+b+c+d+e)	2,974.21	3,327.67	(10.6)%
3	Profit/ (Loss) Before Tax ("PBT") (1-2)	15.04	114.88	(86.9)%
4	Exceptional Items	16.27	-	-
	Profit/ (Loss) Before Tax ("PBT") (3-4)	(1.23)	114.88	(a)
5	Tax expense	55.27	22.00	(b)
	Profit/ (Loss) After Tax ("PAT") (4-5)	(56.50)	92.88	(a)

(a) Since current year is negative, the percent change from previous period is not computed.

(b) The percent change from comparable period is not computed.

Mindteck Fact Sheet



Fact Sheet

FINANCIAL PERFORMANCE HIGHLIGHT

In ₹ Million

Particulars		Q4 2018	Q3 2018	Q4 2017	Growth %		FY 18	FY 17	Growth % YoY
					QoQ	YoY			
Revenue		719.07	717.40	866.98	0.2%	(17.1)%	2,968.42	3,416.56	(13.1)%
EBITDA		(32.49)	6.67	34.04	(a)	(a)	12.68	109.75	(88.4)%
PAT		(78.98)	3.82	32.89	(a)	(a)	(56.50)	92.88	(a)

In \$ Million

Particulars		Q4 2018	Q3 2018	Q4 2017	Growth %		FY 18	FY 17	Growth % YoY
					QoQ	YoY			
Revenue		11.15	11.12	12.90	0.3%	(13.6)%	46.0	50.95	(9.7)%
EBITDA		(0.50)	0.10	0.51	(a)	(a)	0.20	1.64	(88.0)%
PAT		(1.22)	0.06	0.49	(a)	(a)	(0.88)	1.39	(a)

USD/INR

Exchange Rate		Q4 2018	Q3 2018	Q4 2017	FY 18	FY 17
Average (P&L)		64.5	64.5	67.2	64.5	67.1
Close (BS)		65.1	63.8	64.9	65.1	64.9

(a) Since current year is negative, the percent change from previous period is not computed.

Fact Sheet

REVENUE METRICS

Geography		Q4 2018	Q3 2018	Q4 2017	FY 18	FY 17
	USA	70%	65%	70%	72%	71%
	IMEA	6%	13%	13%	6%	12%
	Europe	8%	8%	6%	7%	6%
	APAC	16%	14%	11%	14%	11%

Delivery Centers		Q4 2018	Q3 2018	Q4 2017	FY 18	FY 17
	USA	70%	65%	70%	72%	71%
	India	4%	11%	11%	4%	10%
	Singapore	9%	9%	6%	9%	5%
	Malaysia	7%	5%	5%	5%	6%
	UK	7%	6%	6%	6%	6%
	Germany	1%	2%	-	1%	-
	Baharin	2%	2%	2%	2%	2%

Project Type		Q4 2018	Q3 2018	Q4 2017	FY 18	FY 17
	Time & Material	99%	98%	97%	98%	97%
	Fixed	1%	2%	3%	2%	3%

B'ness Lines		Q4 2018	Q3 2018	Q4 2017	FY 18	FY 17
	Managed Services ("MS")	32%	29%	29%	29%	27%
	Professional Services("PS")	68%	71%	71%	71%	73%

Fact Sheet

REVENUE METRICS

Revenue Mix - Efforts		Q4 2018	Q3 2018	Q4 2017	FY 18	FY 17
	Onsite	69%	70%	76%	72%	76%
	Offshore	31%	30%	24%	28%	24%

Revenue Mix - Business Offerings		Q4 2018	Q3 2018	Q4 2017	FY 18	FY 17
	Talent Management	59.0%	62.1%	68.0%	62.4%	67.9%
	Product Engineering	25.8%	24.2%	19.3%	23.8%	18.9%
	Information Technology Services	14.8%	13.5%	12.7%	13.6%	13.2%
	Smart City Services	0.4%	0.2%	0.0%	0.1%	0.0%

OPERATIONAL METRICS

DSO		Q4 2018	Q3 2018	Q4 2017	FY 18	FY 17
	Days	82	88	80	97	80

Fact Sheet

CLIENT METRICS

Clients		Q4 2018	Q3 2018	Q4 2017	FY 18	FY 17
	Top 5	71%	72%	71%	72%	71%
	Top 10	79%	80%	76%	79%	78%

Other details		FY 18	FY 17
	No of Clients	115	111
	1 Mn +	3	2
	5 Mn +	1	2
	10 Mn +	1	1

EMPLOYEE METRICS

PEOPLE		Q4 2018	Q3 2018	Q4 2017	FY 18	FY 17
	<i>Total Headcount</i>	<i>1,052</i>	<i>1,000</i>	<i>1,038</i>	<i>1,052</i>	<i>1,038</i>
	Technical	882	834	868	882	868
	Support	170	166	170	170	170
	Attrition %	33.1%	28.1%	27.3%	34.0%	35.5%
	New Hires	177	151	136	556	726

**If you have any questions, or need assistance,
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